

Tesla, Inc.
TSLA NASDAQ

Hold \$307.88 ▼ 1.65% 12M Price Target \$340.00 52-Week Range \$297.82 – \$498.83

Market Cap \$1.22T

TSLA: EV Credit Repeal Bites, Robotaxi Story Needs Delivery

WHAT HAPPENED

- TSLA down another 1.65% today, extending the ugly post-earnings slide from \$378 → \$308 in four sessions (that's ~19% wiped out). The 24/7 Wall St piece basically says the punishment was deserved — earnings missed and Q2 auto deliveries were soft. Meanwhile the broader market is RIPPING today (Comm Services +2.88%, Financials +2%), so TSLA is actively bleeding while everything else parties. That's a red flag — when your stock can't rally on an up day, sellers aren't done.
- One small bright spot: Virtuix sold its first Omni One system to Tesla's Optimus division. Tiny news, but it confirms Optimus is still spending on training infrastructure — the humanoid robot story is alive.

WHY IT MATTERS

Here's the real story: the \$7,500 federal EV tax credit officially expired September 30, 2025 under the "One Big Beautiful Bill" Trump signed in July 2025, and Q2 2026 is the first full quarter Tesla is operating without it. That's why deliveries missed and why the stock is getting whacked — the demand pull-forward is over and pricing power is gone. The bearish options flow (put/call at 1.24, with someone loading up 71,000+ puts at the \$310 strike) tells me institutional money expects more downside, likely testing that 52-week low of \$297. The bull case now rests almost entirely on Robotaxi scaling in Austin/California and Optimus hitting production — the auto business alone can't justify a \$1.22T market cap when it's shrinking.

POLICY & POLITICAL WATCH

The regulatory backdrop got materially worse for Tesla in the last year: EV tax credits gone, CAFE fuel economy penalties zeroed out (which kills Tesla's regulatory credit revenue — that was ~\$2B/year of pure profit), and Trump's tariffs on Chinese battery materials squeeze margins. The offset: the administration is friendly on autonomous vehicle federal preemption — meaning one national self-driving rulebook instead of 50 state ones, which is huge for Robotaxi rollout. Watch NHTSA this fall; if they issue a federal AV framework, that's the single biggest catalyst Tesla has, and it could re-rate the stock overnight.

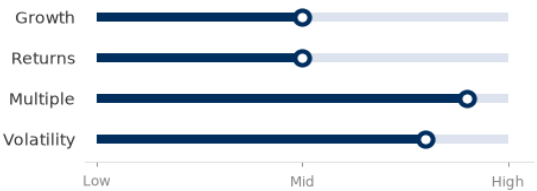
IS IT EXPENSIVE?

At \$308, you're paying roughly 166x next year's earnings — meaning investors are paying \$166 for every \$1 of profit Tesla makes. For context, Toyota trades around 10x and even Nvidia is ~35x. That's only defensible if you believe Optimus and Robotaxi become massive real businesses, not just slide-deck promises. On the car business alone this stock is worth maybe \$120-150; everything above that is you paying today for a future that may or may not arrive.

Key Data

Price (USD)	\$307.88
12M Price Target	\$340.00
Upside / (Downside)	+10.4%
Market Cap	\$1.22T
FY2026E Revenue	\$102M
FY2027E Revenue	\$118M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.60
Fwd P/E	166.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$340.00	\$305.00	\$270.00
6 Months	\$400.00	\$320.00	\$240.00
1 Year	\$475.00	\$340.00	\$220.00
2 Years	\$600.00	\$380.00	\$200.00
5 Years	\$900.00	\$500.00	\$180.00
10 Years	\$1500.00	\$700.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+2.88%) and Financials (+2%) — money is flowing to earnings-proven names ahead of the Fed meeting and Big Tech earnings this week. Real Estate popping suggests rate-cut bets are building.

COOLING OFF: Consumer Discretionary is up today but down ~4% on the week — and Tesla is the reason. When TSLA drags, the whole sector wobbles because it's such a huge weight.

ROTATION WATCH: Money is rotating OUT of expensive growth (TSLA, some Mag 7) and INTO value/cyclicals as \$100 oil and Fed uncertainty spook people. Apple overtaking Nvidia today is the same story — investors want cash flow, not capex-heavy AI dreams.

RELATED PLAY: If you believe the autonomy story, MBLY (Mobileye) and companies making LIDAR/sensors benefit from any federal AV framework — often at cheaper multiples than TSLA.

WHO'S WINNING IN THIS SPACE?

- AAPL (Apple): Overtaking NVDA as most valuable — market is rewarding capital discipline over capex spending sprees, exactly opposite of Tesla's story.
- GOOGL (Alphabet): The 24/7 Wall St piece explicitly said Alphabet's earnings miss didn't deserve punishment while Tesla's did — Google is growing, Tesla isn't right now.

TSLA CONTEXT: Tesla is dead last among the Mag 7 in 2026 and it's not close. Sitting at just 5% of its 52-week range means it's been beaten to a pulp. That's either a contrarian setup or a falling knife — and right now the tape says knife. Wait for the bleeding to stop before catching it.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$285-300 on further weakness

Time Horizon: 12-24 months

Thesis Invalidation: Robotaxi rollout stalls or Optimus production timeline slips into 2028

Hedging: Long BYD or pair with short on legacy auto (F/GM) exposed to same EV credit headwinds